

Theories of International Trade and Investment

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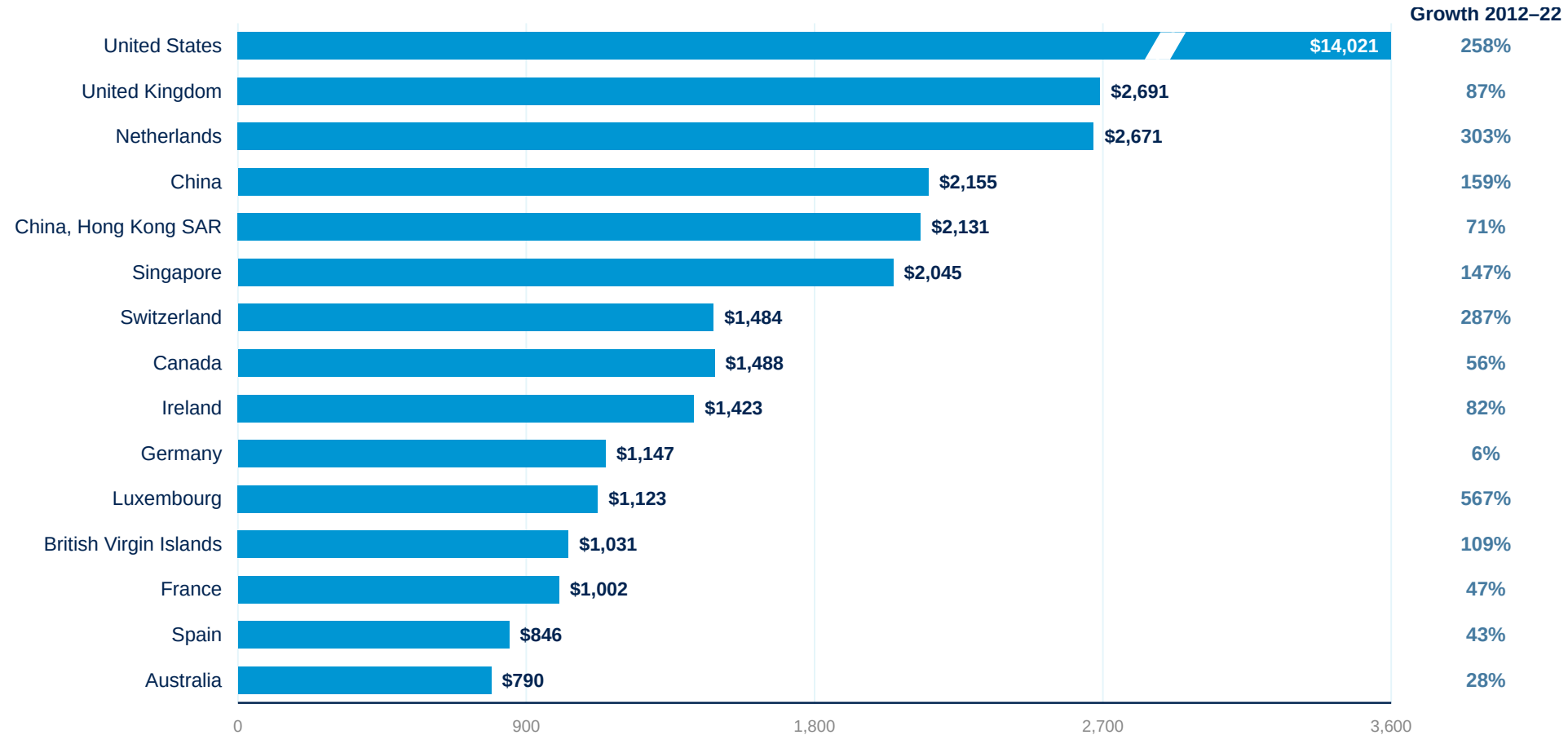
Stages in company internationalization

Firms typically deepen their international commitment gradually, moving from a purely domestic focus toward fully committed involvement abroad.



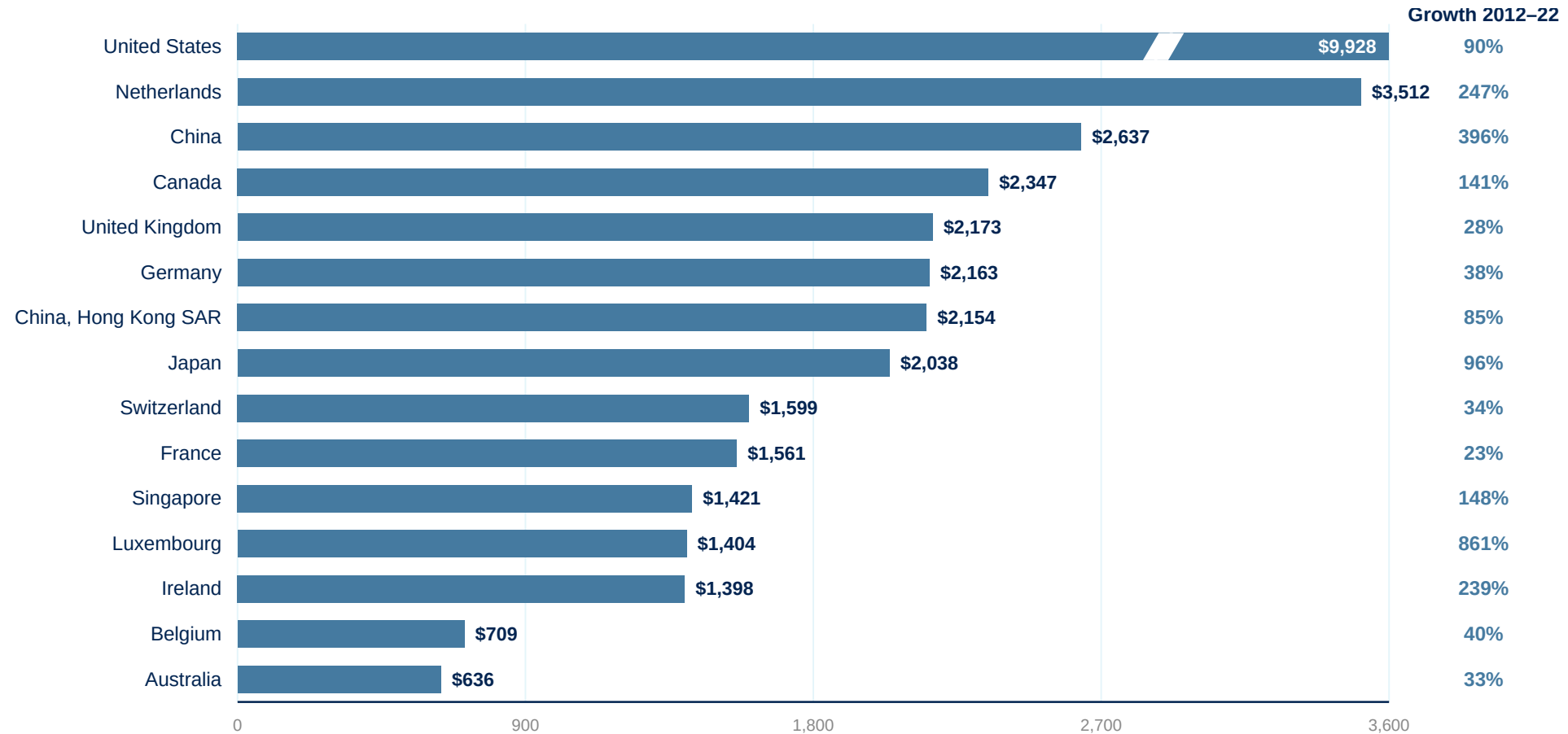
- **Domestic focus** – the firm serves only its home market.
- **Pre-export & experimental** – tentative first steps abroad, often via exporting to nearby or culturally similar markets.
- **Active & committed involvement** – systematic expansion, dedicated resources and, eventually, foreign direct investment.

Stock of inward FDI: leading destinations



Stock of inward foreign direct investment, 2022 (US\$ billions), with percentage growth 2012–22. Source: UNCTAD, UNCTADstat (2023). The US bar is broken to fit the scale.

Stock of outward FDI: top sources



Stock of outward foreign direct investment, 2022 (US\$ billions), with percentage growth 2012–22. Source: UNCTAD, UNCTADstat (2023). The US bar is broken to fit the scale.

How firms gain and sustain international competitive advantage

- Since the MNE was traditionally the major player in international business, scholars have offered numerous explanations of what makes these firms pursue — and succeed in — internationalization.
- Because FDI has been MNEs' main strategy in international expansion, theoretical explanations have tended to emphasize it.
- The explanations fall into two broad groups: **FDI-based** theories (monopolistic advantage, internalization, the eclectic paradigm) and **non-FDI-based** theories (international collaborative ventures).

FDI-based explanations: monopolistic advantage theory

- Argues that MNEs prefer **FDI** because it gives the firm control over resources and capabilities in the foreign market, and a degree of monopoly power relative to foreign competitors.
- Key sources of monopolistic advantage include **proprietary knowledge, patents, unique know-how** and sole ownership of other assets.
- **Example — Novartis:** earns substantial profits by marketing various patented medications through its subsidiaries worldwide.

FDI-based explanations: internalization theory

- Explains how the MNE chooses to **acquire and retain** one or more value-chain activities inside itself.
- Such “internalization” provides the MNE with greater control over its foreign operations.
- Internalization avoids the drawbacks of dealing with external partners — such as reduced quality control and the risk of losing proprietary assets to outsiders.
- **Example — Intel:** in China, Intel owns much of its value chain to ensure that Intel knowledge, patents and other assets are not misused or illicitly obtained by potential rivals.

FDI-based explanations: Dunning's eclectic paradigm

- Three conditions determine whether a company will enter a given foreign country via **FDI**:
- **Ownership-specific advantages.** Knowledge, skills, capabilities, relationships or physical assets that the firm owns and which are the basis of its competitive advantages.
- **Location-specific advantages.** Advantages that exist in the target country — such as natural resources, low-cost labour or skilled labour — similar to comparative advantages.
- **Internalization advantages.** Control derived from internalizing foreign-based manufacturing, distribution or other value-chain activities.

Example of the eclectic paradigm: Sony in China

- **Ownership-specific advantages:** Sony possesses a huge stock of knowledge and patents in consumer electronics, embodied in products like the PlayStation and Bravia TV.
- **Location-specific advantages:** Sony manufactures in China to take advantage of the country's low-cost, highly knowledgeable labour.
- **Internalization advantages:** Sony wants to maintain control over its knowledge, patents, manufacturing processes and product quality.
- → Thus, Sony entered China via **FDI**.

Non-FDI-based explanations: international collaborative ventures

- A form of cooperation between two or more firms: partners **pool resources and capabilities** to create synergies and share the risk of joint efforts.
- Starting in the 1980s, firms increasingly used collaborative ventures as a way to venture abroad.
- Collaboration provides access to foreign partners' know-how, capital, distribution channels or marketing assets — and helps overcome government-imposed obstacles.
- Unlike the FDI-based theories, collaborative ventures allow firms to internationalize without full ownership of foreign operations.

Two types of international collaborative ventures

- **Equity-based joint ventures** result in the formation of a new legal entity. Unlike wholly owned FDI, the firm collaborates with local partner(s) to reduce risk and the commitment of capital.
- **Project-based alliances** require no equity commitment — only a willingness to cooperate in R&D, manufacturing, design or another value-adding activity.
- Because project-based alliances have a narrowly defined scope and timeline, they give the firm greater flexibility than equity-based ventures.



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